Nosebleed Sports LLC founder binder: v3 decisions and what is still open

Updated 2026-11-12 for v3, after your second and third rounds of answers. Part 0 is what v3 changed. Parts 1 to 3 are the v2 record (your first answers, the calls I made, and what the Glover agreement forces). Part 4 is what is still open. Part 5 is what the stress test changed. Part 6 is the risk that drafting cannot remove.

0. What changed in v3 because of your second round of answers

Your answer	What the binder now does
If you cannot act: Gabe, then Christian	Section 4.8: Gabriel acts as CEO (signing, bank, tax representative); Christian if Gabriel cannot; until the founders vote in a successor.
You should have your own veto	New Section 5.7: a sale, merger or dissolution; new units, a new member or a bigger unit count; any amendment to the Operating Agreement; and removing or replacing the CEO all need your written consent while you are working for the company. Personal to you; ends at the closing of a sale. Removal for cause (any three of the other four) is still possible and ends it.
Brock's 1.5%: whatever is best structurally	Left fully vested on day one. Reason: the company can already buy his units at fair value if he quits or is terminated for cause, and in the first year fair value is close to nothing because your capital comes back first. A 12-month forfeiture adds little and makes his amendment harder to sign.
Glover did not contribute to the platform	JGN's statement that no former member or contractor has any right in the code or brand is true as written.
Formation and registered-agent fees: $500, paid by JGN	Added to Schedule C and document 14. Total is now $12,990; $12,990 ÷ 4 = $3,247.50 each.
Leave Glover out if possible	His name and his agreement are out of all 36 documents. The protections his agreement requires are still there, worded generally. Risks are in Part 3.
Schedule F is good; add the fantasy feature	Nosebleed Sports Fantasy added as a planned company product (hosted fantasy leagues, NFL first, then MLB and NBA; led by Christian and Michael; not started). Paid-entry or prize leagues need a 70% vote and a compliance plan first.
Brock's podcast, no name yet, contract to follow	Noted in Schedule F as planned with no name and no contract; ownership settled below.
Backup CTO: Stephen, then Michael	Section 4.8: if Christian cannot act, Stephen acts as CTO, then Michael. For any other officer, you name a stand-in.

Your answer	What the binder now does
The company owns Brock's podcast	Schedule F says so (name, recordings, feeds, listeners, revenue collected directly). In the JGN Agreement, podcasts the company produces are moved into the company's licensed field, and JGN's side expressly excludes anything in that field. The podcast contract between the company and Brock goes in the record book once signed.
The non-compete covers fantasy for now	Section 11.5 adds a fourth restricted category: a product whose main purpose is hosting fantasy leagues or contests, free or paid. Playing fantasy, or running a league on someone else's platform, is not restricted.
Can Brock sign without the Operating Agreement?	Yes. His amendment now says a copy was available to him on request, and he gets one within 10 days after closing. See Part 4, item 1.

1. What changed in v2 because of your answers

Your answer	What the binder now does
Glover is out; four owners at 25%	JGN is described as four owners at 25%. (In v3 his name is removed from the documents; see Part 3.)
Nado is Christian; he never signed an IP assignment	The Founder PIIA (document 18) assigns everything each founder built before and after closing, "whether or not the Founder had signed any earlier agreement about it". Christian signs it at closing like everyone else.
Target closing Friday 11/20/2026	Documents still take their date from the day the last signature lands (the "Actual Closing Date"), so nothing has to be re-printed if it slips. The bank account is no longer a closing condition.
Expense history	Itemized in Schedule C and document 14: $7,000 + $2,100 + $1,290 + $1,750 + $250 + $100 + $500 = $12,990: May through November 2026, plus the $500 formation cost added in v3.
No platform revenue; all revenue is social, to JGN	Stated in the value memo, the JGN Agreement and Schedule F.
Nick main signer; Chase	Banking Resolution: you are the sole signer at Chase; every other founder gets view-only access.
Christian has zero say on JGN matters; no ties to any other company	Christian no longer signs or enforces the JGN Agreement. You sign it for both sides. JGN ownership never disqualifies the four of you from voting on JGN matters. Every mention of another company is gone.
Spending: Nick $5,000, everyone else $2,000	Section 4.3 and the officer record.
JGN owns the code today and transfers it at closing with a perpetual brand license	Document 19 says exactly that.
JGN owns the accounts; no deals tied to the platform	Recorded in the account schedule, the asset schedule and the value memo.

Your answer	What the binder now does
No attorney roadmap; summary and guide to you	Done.
Schedule F	Sent to you in chat. No changes received yet; it is in the binder as sent.
Nobody pays for units; the four funders' money counts as their contribution; Christian earns his 20% by finishing the build and serving as CTO	No purchase price anywhere. The $12,990 is the capital of you, Gabriel, Stephen and Michael, $3,247.50 each. Christian's units are issued for services.
Brock gets 1.5% now without having to earn it, still capped at 5%; amend his agreement	New document 31, a First Amendment to his talent agreement: 150,000 Class B units, fully vested when issued; milestones restated to 2.5% / 3.75% / 5% at $60,000 / $110,000 / $175,000. He signs that one document.
If a buyer fires a founder, they are paid for 100% of their equity, vested or not	Section 6.12: full vesting and full payout within 10 days if a buyer fires a founder without cause, the founder resigns for good reason, or the buyer does not keep them on. Also covers death or disability after the sale. Cannot be cut back without that founder's consent.

2. Calls I made that you should confirm

1. **Your money comes back first.** The $12,990, and anything JGN pays later, is returned to the four of you before any other payout or sale proceeds are split; after that everything is split by units. No interest. I did this for two reasons: it matches "the four of us funded this and Christian never put up a dollar", and it is what makes Christian's and Brock's units a "profits interest", so they owe no income tax for receiving them. Without it, Christian would be taxed on the value of 20% of the company as it vests. If you would rather the money not come back first, say so and I will restructure, but Christian then needs his own tax advice before signing.

1. **Future JGN funding is treated the same way.** Every dollar JGN puts in after closing is more capital for the four of you, returned first, never a loan. JGN can stop funding on 90 days' notice.

1. **Votes at 70%, which means any four of the five founders.** You asked whether 75% made sense. It did not fit your other answers: at 75% nothing could pass without Christian, including the company's side of any change to the JGN deal. At 70% the four JGN owners can act without him. The cost is that Christian plus the three 13% holders could also act without you. In v3 you have your own veto on the big decisions (sale, new units, amendments, removing the CEO) under Section 5.7; Christian does not.

1. **Brock's 150,000 units are vested on day one.** I read "instead of having to earn that" as no forfeiture. His current agreement makes the first units forfeitable for up to 12 months if he quits or underperforms. You left this to me in the second round and I kept it vested (reason in Part 0). Either way the company can buy his units at fair value if he quits or is terminated for cause.

1. **Brock's $800 a month and bonuses are JGN's own expense**, not added to the capital that comes back to you, unless JGN and the company write down that a payment was for the platform. You did not list them among the platform's costs, so I left them out of the $12,990.

1. **Spending above $5,000.** You gave me two numbers. I added: $5,000 to $25,000 needs you plus two more founders; above $25,000 needs a 70% vote. Change the tiers if you want.

1. **Seven months of charges.** I counted May through November as seven monthly charges. If November's had not been charged by closing, the total is lower. JGN also has 60 days after closing to add anything missed. The $500 Delaware filing and registered-agent cost is now in the list.

1. **Value of the company on closing day: $12,990**, what it cost to build. With no revenue, no customers, no cash and a licensed brand, cost is the only evidence there is.

1. **You sign both sides of the JGN Agreement and the Brock amendment**, as CEO of JGN and CEO of the company, under unanimous written approvals from both sets of owners. Christian countersigns only your own unit agreement and receipt, so you are not signing a document with yourself.

1. **Brand domains stay with JGN.** The company gets the exclusive right to run the platform on them; JGN points them where the company directs. I did this because of the Glover agreement (Part 3).

1. **Michael's title** is Chief Data Officer with a data-engineering lane.

3. Glover: out of the binder, and what that does and does not change

Why he was in it. He was never an owner of Nosebleed Sports LLC. He was in the binder because JGN owned the code and the brand while he was a JGN member, and because the agreement you signed with him on November 11 limits what JGN can do with the brand, the social accounts and its receipts until his $12,600 is paid (final date December 31, 2027).

What v3 does. His name and his agreement appear in none of the 36 documents. Three protections stay, worded generally, because breaking them would cost JGN money whether or not he is named:

1. The brand is licensed, never sold (a sale makes the whole buyout due in 30 days).
2. No social account or handle moves to you or a company you control (not allowed except at fair market value).
3. Nosebleed Sports LLC collects its own subscription money in its own accounts (money JGN collects and passes on still counts toward his 20%).

Risks of leaving him out.

1. **It is not illegal and it is not hiding anything.** The binder is the company's own record book, not a disclosure to a buyer. Nothing in it is false without him.
2. **You must still disclose him when a buyer asks.** Any buyer's lawyer will ask who has owned JGN and whether any agreement restricts the brand. Answer truthfully and hand over the redemption agreement then. Leaving him out of the binder is fine; denying him in a sale is not, and a false statement in a purchase agreement is what creates liability.
3. **You lose one helpful sentence.** The binder no longer recites that he confirmed he has no claim to Nosebleed Sports LLC. That confirmation is still in the agreement he signed. Keep a signed copy with the record book so you can produce it in minutes.

4. **JGN's statements now carry the weight.** JGN states that no former member has any right in the code or the brand and that this deal breaks none of its agreements. You told me he contributed nothing to the platform, so the first is true; the second is true as long as the three protections above are followed.
5. **A buyer who finds out late trusts you less.** The fix is simple: put the redemption agreement in the data room on day one of any sale process.

Also from that agreement: JGN owes a $45,000 loan to a family member of Gabriel. It is JGN's debt, not the company's. A buyer's lawyer will still ask because the brand sits in JGN.

4. Still open

1. **Brock and the Operating Agreement (a risk to know, not a decision).** His signature on the amendment binds him to the Operating Agreement, which sets the terms that matter most to him: his units do not vote, your $12,990 comes back before he sees anything, the company can buy his units at fair value if he quits or is terminated for cause, and he can be dragged into a sale. If he signs without seeing it and later disputes one of those terms, his best argument is "I never saw it". The amendment answers that: it lists those terms in plain words in his acknowledgments and says a copy was his for the asking. The safest practice is still to hand it to him; this way is legally workable. He gets a copy within 10 days after closing either way, because a member is entitled to the company agreement.
2. **Which domain does the app run on?** Not needed to sign; needed for the account schedule after closing.
3. **Taxes.** Have a CPA confirm the profits-interest treatment for Christian and Brock at the $12,990 value, and whether Christian should file a protective 83(b) election within 30 days of closing. The first partnership return (Form 1065) for 2026 is due March 15, 2027.
4. **Paid picks and paid fantasy are regulated in some states.** The Operating Agreement requires a 70% vote and a written compliance plan before the company sells picks where a licence is needed, takes sportsbook or affiliate money, or runs fantasy leagues with entry fees or prizes. Worth one conversation with a gaming lawyer before launch.
5. **The fantasy non-compete is weaker until fantasy exists.** Courts enforce a non-compete to protect a business the company actually has. Until Nosebleed Sports Fantasy is being built, a founder who leaves could argue the fantasy part protects nothing. The paid-picks part is unaffected. The fantasy part also binds JGN while any of the four of you is restricted, so JGN cannot launch its own fantasy product in that time.
6. **Brock's podcast contract.** His talent agreement gives JGN the work product that relates to the brand and the social accounts. The podcast contract should say plainly that the podcast and its recordings belong to the company, so there is no overlap.

5. What the last stress test changed (confirm or flip)

A reviewer traced 13 situations through the documents (a founder quits, is removed, dies, is disabled; a sale; a failed closing; a dispute over the $12,990; a transfer; a new partner; JGN stops funding; Brock is terminated; a Glover claim; a founder who refuses to vote) and read them as each side's lawyer would. I fixed the drafting defects. Five of the fixes are choices you should know about:

1. **Votes about one person: any three of the other four.** The last build said 70% of the other founders' units. For a vote about a 13% holder that needed 4,620,000 units, and you plus two 13% holders have 4,600,000, so both you and Christian had to say yes every time. It is now 65% with at least three people, which is exactly "any three of the other four" in every case (math in the guide). It cuts both ways: Gabriel, Stephen and Michael together could find cause against you or against Christian if the facts fit the definition of cause.
2. **The sale protection is tighter.** After a sale, a buyer can only call it "cause" after written notice and 30 days to fix it; disputed money stays in escrow; the held-back money sits with an independent escrow agent; nothing can be set off against it. I also added death or disability after a sale to the events that pay a founder out in full.
3. **If you cannot act, Gabriel acts as CEO, then Christian** (signing, the bank, tax representative) until the founders vote in a successor, and Stephen, then Michael, acts as CTO if Christian cannot. Without this, your death or incapacity left no one able to sign or reach the bank account. (Updated in v3 to your order.)
4. **Future JGN money is credited equally to the four of you unless all four agree otherwise.** Before, JGN (meaning you, signing alone) could re-split it. It also only counts as capital if it paid an approved company expense and was reported to the founders.
5. **Brock's amendment takes effect on closing day, not when he signs.** If closing never happens, his agreement stays as it is today. A copy of the Operating Agreement is available to him on request before he signs, and he gets one within 10 days after closing.

Smaller fixes, no decision needed: a leaver's buyback price can no longer wipe out capital he was not paid for; unpaid buyback money is paid when the company has cash; "termination date" is defined; 350,000 reserve units are set aside for Brock's milestones; a quarterly budget approved by 70% vote; handles removed from the brand definition; JGN holds any stray platform money in trust for the company; JGN's notice to stop funding goes to every founder; a death leaves 90 days (not 30) to decide what happens to unvested units.

6. Risk that drafting cannot remove

1. **JGN's creditors, including Glover.** JGN hands its code to the company and receives nothing itself (its four owners get the units). While JGN owes Glover $12,600 and the $45,000 family loan, a creditor who went unpaid could attack that transfer. The JGN Agreement has JGN state that it is not doing this to avoid any creditor and can still pay its debts. That statement has to be true when you sign. The real protection is paying Glover on schedule; the best is a short written acknowledgment from him, or paying him off before a sale.
2. **The $12,990 valuation.** Christian's and Brock's units are tax-free on receipt only if the company is worth no more than $12,990 on closing day. The memo values it at cost and gives no separate value to the brand license, the free promotion or the Discord members. It is signed by the founders, not an appraiser. If the IRS valued the company higher, part of their units would be taxable. This is the one question to put to a CPA before signing.
3. **Leaving before a sale.** A founder who dies, is disabled or resigns for good reason before any sale keeps vested units but loses the unvested ones, the same as someone who quits. You asked for full payout when a buyer fires someone; you did not ask for it here, so I did not add it. Say so if you want it.

4. **Brock's percentages float.** His agreement measures each milestone percentage against the fully diluted units on the day it is issued. If the company ever authorizes more than 10,000,000 units, his milestone units scale up with it. His agreement also lets revenue received in the 60 days after termination count toward a milestone.
5. **Documents a buyer will ask for that are not in the binder.** Brock's talent agreement, the Glover redemption agreement and JGN's own operating agreement. The binder refers to all three. Keep signed copies with the record book.